

NVIDIA Corporation

NVDA NASDAQ

Buy	\$225.67 ▲ 0.16%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.47T
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NVDA: Grinding Higher Despite AI Bubble Chatter

WHAT HAPPENED

- NVDA barely moved (+0.16%) but is sitting near the top of its 52-week range (85th percentile) — that's actually notable given the market got spooked by a surprise retail sales print. Translation: when the Dow is falling and NVDA holds firm, that's the market saying "this is still the safe AI trade."
- Applied Materials (semiconductor equipment) tanked on earnings, but NVDA shrugged it off — that tells me investors are separating "chip demand" (still strong) from "chip factory buildout" (slowing). NVDA benefits from the former.

WHY IT MATTERS

Two Yahoo headlines today are essentially arguing "the AI trade is getting long in the tooth" — one saying \$1T in cash can't fix the buildout bottleneck (power/grid), the other saying the next winners won't look like NVDA. When you see this much skepticism at all-time highs, it's usually contrarian bullish — the bubble talk shows up before the top, not at it. The real read-through: the market is starting to price in a rotation away from pure GPU names toward power, cooling, and grid infrastructure, which is why Energy is up 7% in 5 days. For NVDA specifically, this means the stock can keep grinding higher on earnings power, but the explosive multiple expansion phase is probably behind us — from here, it's an earnings-driven stock, not a story stock.

POLICY & POLITICAL WATCH

The big one to watch: the Trump administration's H2O chip deal with China, where NVDA agreed to give the US government 15% of China revenue in exchange for export licenses — that's a novel "revenue-sharing tariff" structure that could set precedent across tech. If that framework holds, NVDA gets back billions in China revenue Wall Street had already zeroed out; if Congress pushes back (some hawks are calling it unconstitutional), that upside evaporates. Also watch the CHIPS Act 2.0 discussions and any executive orders on federal AI procurement — Uncle Sam is now effectively an NVDA customer AND a revenue-share partner, which is a weird but powerful alignment.

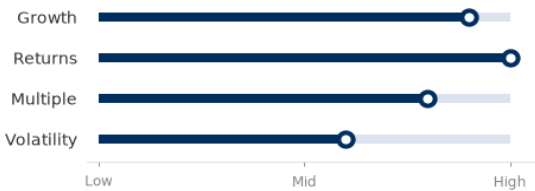
IS IT EXPENSIVE?

At roughly 51x forward earnings, you're paying \$51 for every \$1 of profit NVDA will earn next year — that sounds expensive, but they're growing earnings 40%+ so the PEG ratio (price relative to growth) is actually reasonable at ~1.2. Compare to Palantir at 200x+ or even AMD at 40x with slower growth, and NVDA is arguably the cheapest premium AI name. The valuation is justified as long as data center revenue keeps compounding — the day that number decelerates below 25% YoY, the multiple gets crushed.

Key Data

Price (USD)	\$225.67
12M Price Target	\$260.00
Upside / (Downside)	+15.2%
Market Cap	\$5.47T
FY2026E Revenue	\$205M
FY2027E Revenue	\$268M
FY2026E EPS	\$4.45
FY2027E EPS	\$5.90
Fwd P/E	50.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$230.00	\$210.00
6 Months	\$270.00	\$245.00	\$195.00
1 Year	\$310.00	\$260.00	\$180.00
2 Years	\$400.00	\$320.00	\$200.00
5 Years	\$600.00	\$450.00	\$220.00
10 Years	\$900.00	\$650.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7% in 5 days) and Utilities — the market has figured out that AI needs power, and power needs generation and grid. This is a direct second-derivative AI trade.

COOLING OFF: Consumer Discretionary (-0.9% in 5 days) — surprise retail sales data today suggests the consumer is finally cracking, which raises recession odds.

ROTATION WATCH: Money is rotating from "AI chips" to "AI infrastructure" — power, cooling, data center REITs. NVDA isn't losing money to this rotation yet because it's still the highest-conviction earnings story, but the marginal AI dollar is going elsewhere.

RELATED PLAY: If you believe the AI story but think NVDA is tapped out, look at Vistra (VST), Constellation Energy (CEG), or Eaton (ETN) — they sell the power and electrical gear that AI data centers can't run without.

WHO'S WINNING IN THIS SPACE?

- SK Hynix / Samsung (KOSPI +2.4% overnight): Korean memory names are ripping because HBM (high-bandwidth memory that goes into NVDA GPUs) demand is off the charts — this is a direct positive read-through for NVDA
- Energy sector broadly: benefiting from the "AI needs power" narrative catching mainstream attention

NVDA CONTEXT: NVDA is holding near highs while the Dow falls and Applied Materials craters — that's leadership behavior. When a stock refuses to sell off on bad tape, it usually means institutions are accumulating. The relative strength here is a bullish tell into the August 27 earnings print.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — high conviction because earnings power is real and the China optionality is now a call option Wall Street isn't fully pricing, but I'm not at 10 because the crowd is already here.

POSITION SIZE: 5-7% of portfolio — this can be a core holding, but don't YOLO it. The stock is up huge and volatility around earnings is real.

ENTRY POINTS: I'd add on any pullback to \$215-220 (roughly the 50-day moving average). If we get a broader market flush to \$200, back up the truck.

TIME HORIZON: 12-24 months. Near-term catalyst is August 27 earnings; medium-term catalyst is Blackwell Ultra ramp and China H2O revenue recognition in Q4.

WHEN TO BAIL: If data center revenue growth drops below 20% YoY, if a major hyperscaler cuts capex guidance, or if Congress kills the China H2O deal outright.

HEDGING: Simplest hedge is to buy some SOXS (inverse semiconductor ETF) or long-dated puts on SMH (the semiconductor ETF) — that protects you from a sector-wide semi selloff without betting against NVDA specifically. Cheaper hedge: just trim 20% of your position if it hits \$240 before earnings.